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CASH EQUITIES



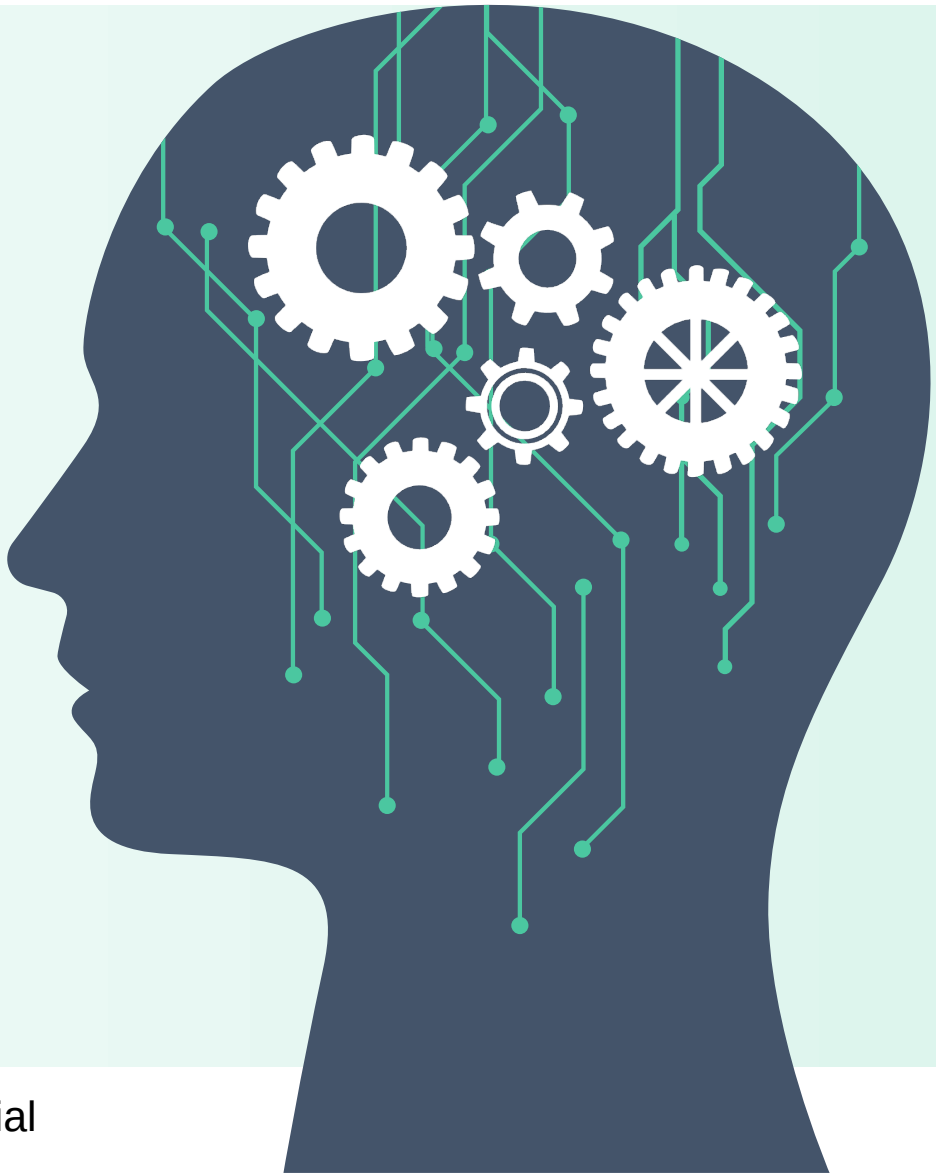
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YOU ARE GOING TO LEARN…

- Introduction to Cash Equity Products & types
- Common Shares/Equity Shares, its features
- Preference Shares - Features & Types
- Depository Receipts - ADRs/GDRs - Features & Types
- Share Capital - Authorized - Issued - Subscribed - Paid-up
- Equity Index & its application



TYPES OF EQUITY

There are several different types of equities that investors can trade and invest in. Here are some of the most common types:

1. Common Stock

Common stock is the most well-known type of equity. When you own common stock in a company, you become a shareholder and have the right to vote on certain company matters, such as electing the board of directors. Common shareholders also have the potential to receive dividends and benefit from capital appreciation, but they are last in line to receive assets distribution if the company goes bankrupt.

2. Preferred Stock

Preferred stock is a type of equity that generally offers a fixed dividend, which is paid before any dividends are distributed to common shareholders. Preferred shareholders have a higher claim on the company's assets and earnings compared to common shareholders. However, preferred shareholders usually do not have voting rights or their voting rights are limited.

3. Depository Receipts

These are certificates representing ownership of foreign company stocks. They allow investors to trade foreign equities on their local exchanges without needing to directly hold shares in foreign markets.



Common Stock

TYPES OF EQUITY

Common stock is one of the most common and well-known types of equity that individuals can invest in. Features of common stock include the following:

Ownership and Voting Rights

Represents **fractional ownership** in a company
Shareholders become **part-owners** of the company

Common rights include:

- Voting on important matters at shareholder meetings
- Electing or removing the **Board of Directors**
- Approving **major corporate decisions**
  Voting on changes to the **company's bylaws**

1

Dividends

Dividends for Common Shareholders

Dividends = **share of company profits** distributed to shareholders

Serve as a **return on investment**

- Companies are **not obligated** to pay dividends
- Amount & frequency depend on:
  - Company's **financial performance**
  - Decisions of the **Board of Directors**

2

TYPES OF EQUITY

Capital Appreciation

Capital Appreciation – Key Benefit of Common Stock
Main attraction: **potential for price growth**
If the company performs well → **stock value increases**
Investors can:

Buy shares at a **lower price**
Sell later at a **higher price**
Earn a **capital gain**

3

Risk and Volatility

- Investments involve **risk & volatility**
- Stock prices influenced by:
  - Company's **financial performance**
  - **Industry trends**
  - **Market sentiment**
  - **Economic conditions**
  - **Geopolitical events**
  - Prices may **fluctuate sharply** → potential **gains or losses**

4

Liquidation and Residual Claims

- **Common Shareholders in Bankruptcy**
- In **bankruptcy/liquidation**, payouts follow a priority order
- Paid **after**:
  - Creditors
  - Bondholders
  - Preferred shareholders
- Common shareholders = **residual claimants** (last in line)

5

TYPES OF EQUITY

Information Access

Disclosure by Public Companies

- Companies with publicly traded stock must share information
- Disclosures include:
  - Financial performance
  - Operational details
- Provided through regulatory filings:
  - Quarterly reports
  - Annual reports
- Helps investors make informed decisions

6

Corporate Actions

Corporate Actions

Rights Offering

Companies may issue additional shares of common stock. Existing shareholders can buy these shares at a discounted price.

Share Split

Existing shares are divided into multiple smaller shares. Makes the stock more affordable and accessible to retail investors.

7

Long-Term Investment Potential

Common Stock as a Long-Term Investment

- Many investors view common stock as a reliable long-term investment option.
- Historically, fundamentally strong companies have delivered consistent returns over time, despite short-term market fluctuations.
- Patient investors who hold shares for the long run often benefit from:
  Compounding growth
  Dividend reinvestment

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ADVANTAGES AND DISADVANTAGES OF EQUITY

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Investing in equity has its advantages and disadvantages. Understanding these pros and cons can help you make informed decisions about including equities in your investment portfolio.

Advantages of Equity

1. Potential for High Returns:

Historically, equities have shown the potential for higher long-term returns compared to other asset classes like bonds or cash investments.

2. Capital Appreciation/Gains:

Equities offer the opportunity for capital appreciation, meaning the value of your investments can increase over time, potentially leading to significant profits.

3. Dividend Income:

Many companies distribute a portion of their profits as dividends to shareholders, providing a dividend income for investors.

ADVANTAGES AND DISADVANTAGES OF EQUITY

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4. Liquidity:

Equities listed in Stock Exchanges are generally more liquid than other investments, allowing you to quickly buy or sell shares in the stock market.

5. Diversification:

Investing in a range of Equities Portfolio across different industries and sectors can help diversify your portfolio, reducing the impact of poor performance from a single investment.

6. Ownership and Voting Rights:

When you invest in equities, you become a shareholder and have the right to vote on important company decisions, depending on the number of shares you hold.

7. Transparency:

Publicly traded companies are required to disclose financial information regularly, providing transparency and information for investors.

ADVANTAGES AND DISADVANTAGES OF EQUITY

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Disadvantages of Equity

1. Market Volatility:

Equity prices can be highly volatile, leading to short-term fluctuations in the value of your investments. This volatility can be unsettling for some investors.

2. Risk of Loss:

There's always a risk that the value of your equity investments could decrease, leading to potential losses, especially during market downturns.

3. Lack of Guaranteed Income:

Unlike bonds or fixed-income investments, equities don't offer guaranteed income, and companies are not obligated to pay dividends.

ADVANTAGES AND DISADVANTAGES OF EQUITY

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4. Lack of Control:

While shareholders have voting rights, individual investors often have limited influence on company decisions, especially if they hold a small number of shares.

5. Long-Term Commitment:

Successful equity investing often requires a long-term perspective to ride out short-term market fluctuations and realize the potential for growth.

6. Research and Monitoring:

Investing in equities requires research and monitoring of companies, market trends, and economic conditions to make informed decisions.

7. Lack of Regular Income:

If a company doesn't pay dividends or if you don't sell your shares, equities may not provide regular income, which can be a disadvantage for investors seeking consistent cash flow.

ADVANTAGES AND DISADVANTAGES OF EQUITY

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8. Liquidity Risk:

While equities are generally liquid, there can be situations where market conditions or trading restrictions make it difficult to sell shares at desired prices.

9. Individual Stock / Issuer Company Risk:

Investing in individual stocks exposes you to company-specific risks that can affect your portfolio if the company faces challenges or poor performance.

10. Tax Implications:

Capital gains and dividends from equities can have tax implications, and tax laws can change over time, affecting your after-tax returns.



Preference Shares

PREFERRED SHARES

Preferred shares, often referred to as "**preferred stock**" or "**preference shares**," are a type of equity ownership in a company that comes with certain preferential rights and privileges compared to common shares. Here's an overview of preferred shares:

1. Dividend Priority

One of the primary features of preferred shares is their dividend preference. Preferred shareholders typically have a higher claim on the company's profits compared to common shareholders. This means that if the company distributes dividends, preferred shareholders are entitled to receive their dividends before common shareholders receive any payments.

2. Fixed Dividend

Preferred shares often come with a fixed dividend rate. This means that the dividend payment to preferred shareholders is typically a predetermined percentage of the par value (face value) of the preferred shares. This fixed dividend is usually paid on a regular basis, such as quarterly or annually.

3. Limited Voting Rights or No Voting Rights

In many cases, preferred shareholders have limited or no voting rights. While common shareholders can typically vote on company matters, preferred shareholders might not have the same level of influence on decisions. However, some types of preferred shares may come with voting rights if specific conditions are met.

PREFERRED SHARES

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4. Priority in Liquidation

In the event of the company's liquidation or bankruptcy, preferred shareholders have a higher claim on the company's assets compared to common shareholders. This means that preferred shareholders are more likely to receive a portion of the remaining assets after satisfying debts and obligations.

5. Different Series

Companies may issue multiple series of preferred shares, each with different terms, dividend rates, and other characteristics. This allows companies to tailor preferred shares to specific investor preferences or capital needs.

Preferred shares are often seen as a hybrid between common equity and debt. While they offer the potential for regular income through fixed dividends and certain protections in case of company difficulties, they generally lack the same potential for capital appreciation as common shares. The specific terms and features of preferred shares can vary widely depending on the issuing company and the type of preferred shares being offered.

TYPES OF PREFERENCE SHARES

There are various types of preference shares, each with its own unique features and characteristics. Some common types of preference shares include:

1. Cumulative Preference Shares

- **Definition**: Shares with a provision that ensures unpaid dividends accumulate and are paid in future profitable years.
- **Key Feature**: Before common shareholders receive any dividends, all accumulated arrears must be cleared.
- **Investor Benefit**: Provides greater security of dividend payments compared to common stock.

2. Non-Cumulative Preference Shares

- **Definition**: Unlike cumulative preference shares, these do not carry forward unpaid dividends.
- **Key Feature**: If the company skips dividend payment in a given year, shareholders lose the right to claim it in the future.
- **Investor Implication**: More risky compared to cumulative preference shares, but may offer higher returns when dividends are declared.

TYPES OF PREFERENCE SHARES

There are various types of preference shares, each with its own unique features and characteristics. Some common types of preference shares include:

3. Optionally Convertible Shares

- **Definition**: These preference shares give shareholders the **option (not obligation)** to convert them into a predetermined number of common equity shares.
- **Key Benefit**: Provides investors with a **flexibility choice** –
- Steady dividend income (as preference shares), OR
- **Capital appreciation** (by converting into common shares).
- **Investor Advantage**: Balances **fixed income security** with the **growth potential** of equity.

4. Non-Convertible Preference Shares

- **Definition**: These preference shares **cannot be converted** into common equity shares.

Features:

- Provide a **fixed dividend**.
- Carry **preferential rights** over common shareholders in dividend payments and repayment of capital.
- **Investor Perspective**: Suitable for investors seeking **stable income** rather than equity growth.

TYPES OF PREFERENCE SHARES

There are various types of preference shares, each with its own unique features and characteristics. Some common types of preference shares include:

5. Participating Preference Shares

- **Definition**: Preference shares that provide a fixed dividend plus the right to receive additional dividends if the company earns surplus profits.
- **Key Feature**: Shareholders *"participate"* in extra earnings after common shareholders have received their dividends.
- **Investor Advantage**: Combines fixed income security with a share in higher profits.

6. Non-Participating Preference Shares

- **Definition**: Preference shares that provide only a fixed dividend.
- **Key Feature**: Shareholders cannot receive extra dividends, even if the company earns surplus profits.
- **Investor Perspective**: Offers stable but limited returns, with no participation in additional profits.

TYPES OF PREFERENCE SHARES

7. Redeemable Preference Shares

- **Definition**: Preference shares that the company agrees to repay (redeem) after a fixed period.
- **Key Feature**: Redemption occurs on the maturity date specified at the time of issue.
- **Investor Benefit**: Provides certainty of capital repayment along with fixed dividend income.
- .

8. Irredeemable Preference Shares

- **Definition**: Preference shares that do not have a fixed maturity date.
- **Key Feature**: The company is not obligated to repay the capital during its lifetime.
- **Investor Perspective**: Shareholders continue to receive fixed dividends, but their capital remains invested unless the company winds up or redeems voluntarily.

TYPES OF PREFERENCE SHARES

9. Adjustable or Floating Rate Preference Shares

- **Definition**: Preference shares where the dividend is linked to a benchmark rate (e.g., LIBOR, MIBOR, government bond yield).
- **Key Feature**: Dividend rate is adjusted periodically as the benchmark changes.
- **Investor Perspective**: Protects against interest rate fluctuations, offering variable returns instead of a fixed dividend

10. Callable Preference Shares

- **Definition**: Preference shares that can be repurchased (“called back”) by the issuing company.
- **Key Feature**: Redemption occurs at a predetermined price after a specified period.
- **Company Advantage**: Provides flexibility to restructure or reduce capital when needed.
- **Investor Impact**: Dividend income may end earlier if the company exercises the call option.

ADVANTAGES OF PREFERRED SHARES

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1. Fixed Dividend Income:

Preferred shareholders typically receive a fixed dividend payment, providing a predictable income stream that can be attractive to income-oriented investors.

2. Priority in Dividend Payments:

Preferred shareholders have priority over common shareholders in receiving dividend payments. If the company faces financial difficulties, preferred shareholders are usually paid dividends before common shareholders.

3. Priority in Liquidation:

In case of liquidation or bankruptcy, preferred shareholders have higher priority than common shareholders in receiving remaining assets after satisfying debts and obligations.

ADVANTAGES OF PREFERRED SHARES

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4. Lower Volatility:

Preferred shares tend to be less volatile than common shares. This can make them appealing to investors who seek a steadier investment without the same level of price fluctuations.

5. Potential Capital Appreciation:

Some types of preferred shares, such as convertible preferred shares, offer the potential for capital appreciation if the company's common stock performs well.

6. Tax Advantages:

In some jurisdictions, dividends received from preferred shares may be taxed at a lower rate compared to interest income from bonds

ADVANTAGES OF PREFERRED SHARES

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7. Flexibility for Companies:

Companies can tailor the terms of preferred shares to meet their financing needs, adjusting dividend rates, redemption options, and other features.

8. Strengthened Capital Structure:

Issuing preferred shares can help companies raise capital without increasing their debt levels, thus improving their balance sheet.

DISADVANTAGES OF PREFERRED SHARES

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1. Limited Voting Rights:

Preferred shareholders often have limited or no voting rights, which means they have less influence on company decisions compared to common shareholders.

2. Lower Potential Returns:

While preferred shares offer fixed dividends, they generally lack the same potential for capital appreciation as common shares, which can limit long-term returns.

3. Interest Rate Sensitivity:

Some types of preferred shares, especially those with adjustable rates, can be sensitive to changes in interest rates, which may affect their market value.

DISADVANTAGES OF PREFERRED SHARES

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4. Non-Participation in Company Growth:

Preferred shareholders may miss out on the potential for significant capital gains, while the company's common shares experience substantial growth.

5. Call Risk:

If a company issues callable preferred shares, there's a risk that the company may redeem the shares at a predetermined price, potentially leaving investors with fewer income-generating options.

6. Market Price Fluctuations:

While preferred shares are generally less volatile than common shares, they can still experience price fluctuations in response to changes in interest rates, company performance, or market sentiment.

DISADVANTAGES OF PREFERRED SHARES

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7. Credit Risk:

The income from preferred shares is dependent on the company's ability to pay dividends. If the company faces financial difficulties, it may be unable to make dividend payments.

8. Less Liquidity:

Preferred shares can be less liquid than common shares, making them harder to buy or sell quickly in the market as most of the Preference Shares are not listed on the Stock Exchanges

Investors and companies should carefully consider these advantages and disadvantages when deciding whether to issue or invest in preferred shares. The choice depends on individual financial goals, risk tolerance, and overall investment strategy. referred shareholders may miss out on the potential for significant capital gains if the company's common shares experience substantial growth.



Depository Receipts

DEPOSITORY RECEIPTS

Depository Receipts (DRs) are financial instruments that represent ownership in shares of foreign companies. They allow investors to trade and invest in foreign stocks without directly owning the shares or dealing with the complexities of cross-border investment, trading & regulations compliance. DRs are issued by financial institutions known as depository banks and are traded on local stock exchanges.

There are two main types of depository receipts:

Global Depository Receipts (GDRs):

GDRs are issued and traded outside the company's home country, typically in the form of Euroclear/Clearstream-listed securities in Europe. GDRs are usually denominated in U.S. dollars or Euros or Pounds etc., and they allow international investors to invest in foreign companies without the need to navigate foreign exchanges and currencies.

American Depositary Receipts (ADRs):

ADRs are a specific type of DR traded on U.S. exchanges. They enable American investors to invest in foreign companies as if they were trading shares of a U.S. company. ADRs are denominated in U.S. dollars and are subject to U.S. Securities regulations.

DEPOSITORY RECEIPTS

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How Depository Receipts Work:

1 Issuance:

A foreign company that wishes to raise capital in international markets may choose to issue depository receipts. The company partners with a depository bank, which buys a block of the company's shares and holds them as the underlying asset for the DRs.

2 Deposit of Shares:

The depository bank holds the company's shares in a Custodian Bank in the home country of Issuer company, while the depository receipts are issued to investors. Each DR represents a certain number of shares, and the value of the DRs is linked to the value of the underlying shares.

3 Trading and Investment:

Investors buy and sell DRs on local stock exchanges where the DRs are listed. These exchanges facilitate trading and provide a familiar platform for investors to access foreign companies' shares.

4 Dividends and Voting Rights:

Investors holding DRs may receive dividends and, in some cases, voting rights, based on the terms of the DR program. Dividends are paid to the depository bank, which then distributes them to DR holders after deducting fees.

ADVANTAGES OF DEPOSITORY RECEIPTS

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1. Global Investment Access:

DRs allow investors to access international markets and invest in foreign companies without the need to navigate foreign exchanges and currencies.

2. Liquidity:

DRs are traded on major stock exchanges, providing liquidity and ease of buying and selling.

3. Diversification:

DRs enable investors to diversify their portfolios across different geographical regions and industries.

4. Currency Risk Mitigation:

GDRs and ADRs are typically denominated in major global currencies like U.S. dollars or euros, reducing currency risk for investors.

DISADVANTAGES OF DEPOSITORY RECEIPTS

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1. Exchange Rate Fluctuations:

While DRs mitigate currency risk to some extent, fluctuations in exchange rates can still impact the value of the investment.

2. Country Risk:

Investing in foreign companies involves exposure to the economic and political risks of the country in which the company is based.

3. Fees:

Investors may incur fees related to trading, conversion, and custodial services for holding DRs.

4. Limited Voting Rights:

Investors may have limited or no voting rights compared to direct shareholders of the company.

TYPES OF DEPOSITORY RECEIPTS

1

Sponsored Depositary Receipts (DRs)

Sponsored Depositary Receipts are issued with the active involvement and support of the Issuer company whose shares underlie the DR program. In other words, the Issuer company plays a direct role in establishing and managing the DR program, often working closely with a depository bank to ensure proper execution. Sponsored DRs provide several advantages:

Company Involvement: The Issuer company is actively involved in the DR program, which can enhance transparency and communication with investors.

TYPES OF DEPOSITORY RECEIPTS

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2

Unsponsored Depositary Receipts (DRs)

Unsponsored Depositary Receipts are issued without the active participation or endorsement of the foreign company. In these cases, a financial institution, typically a broker or bank, initiates the DR program without direct involvement from the company whose shares underlie the DRs. Unsponsored DRs have the following characteristics: They are not listed on Stock Exchanges and hence they trade only in OTC Markets

Independent Issuance: The issuance of unsponsored DRs is initiated by a financial institution without the formal approval or collaboration of the Issuer company.

TYPES OF DEPOSITORY RECEIPTS

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Key Differences

The primary distinction between sponsored and unsponsored DRs lies in the level of involvement and endorsement from the foreign company whose shares are being represented by the DRs. Sponsored DRs involve active company participation, customization, and potential benefits for the company. Unsponsored DRs are initiated independently by financial institutions, with limited company involvement and potential for customization.

Investors interested in investing in DRs should be aware of whether they are dealing with sponsored or unsponsored DRs, as the level of company involvement and related benefits can vary significantly. Additionally, understanding the differences can help investors make informed decisions based on their investment goals and preferences.



Share Capital

OFFER FOR SALE (OFS)

An **"Offer for Sale" (OFS)** is a method of selling shares of a publicly traded company by existing shareholders, such as promoters, founders, or large investors, to the public through the Public Issue of Shares. It's a way for existing shareholders to monetize their holdings and for the company to comply with regulatory requirements for minimum public shareholding.

1

Decision to Sell: Existing shareholders, often large institutional investors or company insiders, decide to sell their shares in the company. This decision could be for various reasons, including encashing their shares, complying with regulatory requirements, or realizing profits.

2

Regulatory Compliance: In many countries, securities regulators require companies to maintain a minimum level of public shareholding. An OFS can help a company meet this requirement if its public float falls below the mandated threshold.

OFFER FOR SALE (OFS)

3 **Appointment of Intermediaries:** The selling shareholders typically engage investment banks or financial intermediaries to manage the OFS process. These intermediaries help determine the offer price and handle the logistics of the sale.

4 **Price Determination:** The offer price of the shares is determined through a bidding process. The investment bank may conduct a book-building process, where institutional and retail investors submit bids specifying the number of shares they want to buy and the price they are willing to pay.

5 **Retail and Institutional Participation:** Both retail and institutional investors can participate in the OFS. Retail investors can bid at the floor price or above it, while institutional investors often submit their bids at specific price points.

6 **Allotment:** Once the bidding process is complete, the allotment of shares is made based on the bids received. The shares are allocated to the highest bidders, starting with those who bid at the highest price.

OFFER FOR SALE (OFS)

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7 **Listing:** The shares allotted through the OFS are listed on the stock exchange and become tradable on the open market. Investors who receive shares can buy or sell them like any other publicly traded stock.

8 **Settlement:** The settlement process involves the transfer of funds from buyers to sellers and the transfer of shares from sellers to buyers. This typically occurs through the stock exchange's clearing and settlement system.

9 **Post-OFS Ownership:** After the OFS, the selling shareholders may still retain some ownership in the company, depending on how many shares they chose to sell. The company's public float may increase, helping it comply with regulatory requirements.

10 **Disclosure:** Companies and selling shareholders are required to disclose details of the OFS, including the offer document, financial information, and any material information that investors should be aware of before participating in the offer.

DIFFERENCE BETWEEN FRESH NEW SHARES ISSUE & OFS

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An Offer for Sale (OFS) Public Offering and a Fresh New Shares Issue Public Offering are both methods of raising capital by selling shares of a company to the public, but they differ in several key ways:

1. Timing and Purpose:

Fresh Issue : A Fresh Shares Issue is the time a company goes public and issues shares to the general public. The primary objective of a Fresh Shares Issue is to raise capital for growth, expansion, or other corporate purpose.	**OFS:** An OFS, on the other hand, is when existing shareholders of a publicly traded company sell their shares to the public. The primary purpose is often to provide liquidity to existing shareholders, such as promoters, founders, or large investors, rather than raising capital for the company itself. OFS can also help companies meet regulatory requirements for minimum public shareholding.

DIFFERENCE BETWEEN FRESH NEW SHARES ISSUE & OFS

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2. Ownership Change:

Fresh Issue : In a Fresh Shares Issue Public Offering, the ownership structure of the company typically changes significantly. New shareholders, including retail and institutional investors, become part-owners of the company. The company's founders and early investors may retain a portion of their shares but often have reduced ownership percentages.	**OFS:** In an OFS, the ownership structure of the company remains largely the same. Existing shareholders are selling their shares to the public, but the company itself is not issuing new shares or raising capital. The percentage ownership of the existing shareholders decreases as they sell their shares to new investors.

3. Regulatory Requirements:

Fresh Issue : An IPO involves extensive regulatory requirements and disclosures. Companies must prepare detailed prospectuses or offering documents that provide information about their financials, business operations, risks, and future prospects. This information is made available to the public for due diligence.	**OFS:** While there are regulatory requirements for OFS as well, they are generally less onerous than those for a Fresh Issue. The focus of the disclosures is primarily on the selling shareholders and the offer itself, rather than the company's financial and operational details.

DIFFERENCE BETWEEN FRESH NEW SHARES ISSUE & OFS

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4. Fund Utilization:

Fresh Issue: In an Fresh Issue Public Offering, the funds raised go directly to the company, and they can be used for various corporate purposes, such as research and development, debt reduction, or expansion.	**OFS:** In an OFS, the funds raised (if any) go to the selling shareholders, not the company. The company itself does not receive capital from the sale of existing shares.

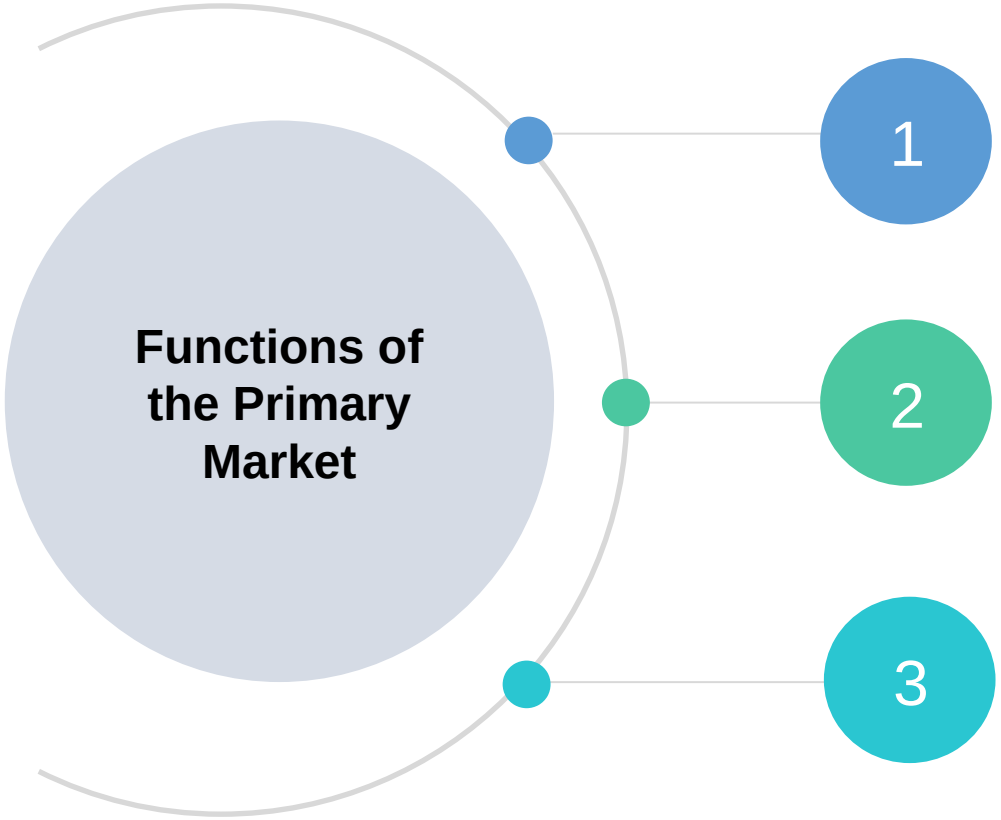
5. Public Issue Costs:

Fresh Issue : Typically, Fresh Shares Public Issue Costs like Underwriting/Regulatory Fees/Listing Fees/Marketing Costs are borne by the Issuing Company	**OFS:** OFS public issue costs are borne by Selling Investors .

In summary, an Fresh Issue Public Offering is the process by which an Issuing company raising capital for the Business Purposes, whereas an OFS involves the sale of existing shares of a company by its current shareholders to the public. The key distinction is the timing, purpose, and impact on ownership and funding.

PRIMARY MARKET

The **primary market**, also known as the new issue market, is the financial market where new securities, such as stocks, bonds, and other financial instruments, are issued and sold by companies, governments, or other entities to raise capital. In the primary market, New Fresh Issue of securities are directly offered to investors, and the proceeds from the sale of these securities go to the issuing entity and in case of OFS Public Issue, the sale proceeds go to the selling investors.



Capital Formation: The primary function of the primary market is to facilitate the raising of capital by companies and governments. By issuing new securities, these entities can raise funds to finance their operations, investments, and growth initiatives.

Initial Public Offerings (IPOs): The primary market is where companies conduct initial public offerings (IPOs) when they decide to become publicly traded companies. During an IPO, shares of the company are offered to the public for the first time, allowing the company to raise equity capital.

Follow on Public Offerings (FPOs): In primary market, listed companies can also raise capital through FPOs when they need more capital for growth companies.

SECONDARY MARKET

The **secondary market**, also known as the aftermarket, is the financial market where previously issued securities, such as stocks, bonds, and other financial instruments, are bought and sold among investors. Unlike the primary market, where new securities are issued and sold to raise capital, the secondary market involves the trading of existing securities between investors. The secondary market plays a crucial role in providing liquidity, price discovery, and continuous trading opportunities for investors.

Functions of the Secondary Market:

1. **Liquidity:** One of the primary functions of the secondary market is to provide liquidity to investors. Investors can buy and sell securities quickly and easily, converting their investments into cash whenever needed. This liquidity is essential for the efficient allocation of capital.

2. **Price Discovery:** The secondary market enables the determination of market prices for securities based on supply and demand dynamics. As securities are traded, the market price reflects the collective assessment of investors about a company's value, performance, and prospects.



Equity Index

WHAT IS AN INDEX?

An **index** in the context of finance and investing is a statistical measure used to represent the performance of a specific group of assets, such as stocks, bonds, commodities, or other financial instruments. It provides a way to track and assess the overall performance of a particular market, sector, or asset class.

Key characteristics of financial indices include:

1. Composition	2. Weighting
An index is composed of a predefined set of financial assets. For example, a stock market index includes a selection of stocks from a particular stock exchange.	Each asset in the index is assigned a weight or value based on certain criteria. Common methods of weighting include market capitalization (market cap), price-weighted, or equal-weighted.

WHAT IS AN INDEX?

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3. Calculation

Indices are calculated using a specific formula or methodology. The most common formula is a price-weighted average or a market cap-weighted average, where the performance of each component is combined to create an overall index value.

4. Base Value

Most indices start with a base value set at a specific point in the past (often 100 or 1,000) for ease of tracking performance over time.

5. Benchmark

Indices are often used as benchmarks to measure the performance of investment portfolios or specific assets against the broader market or a particular sector.

6. Historical Data

Indices provide historical data on how the assets they represent have performed over time, allowing investors to analyze trends and make informed decisions.

WHAT IS AN INDEX?

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Examples of well-known financial indices include:

1. **S&P 500:** Represents 500 of the largest publicly traded companies in the United States and is often used as a benchmark for U.S. stock market performance.

2. **Dow Jones Industrial Average (DJIA):** Tracks the performance of 30 large, publicly traded companies in the United States.

3. **NASDAQ Composite:** Includes all the companies listed on the NASDAQ stock exchange, primarily technology and internet-related companies.

4. **FTSE 100:** Represents the 100 largest companies listed on the London Stock Exchange in the United Kingdom.

5. **Nikkei 225:** Measures the performance of 225 large, publicly traded companies on the Tokyo Stock Exchange in Japan.

WHAT IS AN INDEX?

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Indices serve several important purposes in the financial world:

1. Performance Measurement: Investors use indices to assess the performance of their portfolios or specific investments in relation to the broader market.

2. Benchmarking: Indices are commonly used as benchmarks for investment managers to evaluate the success of their investment strategies.

3. Investment Products: Many financial products, such as exchange-traded funds (ETFs) and index mutual funds, are designed to replicate the performance of specific indices.

4. Economic Analysis: Analysts and economists use indices as indicators of economic health and trends. For example, a rising stock market index may be seen as a sign of economic confidence.

MARKET CAPITALIZATION

Market capitalization:
Market capitalization often abbreviated as "market cap," is a financial metric used to measure the total value of a publicly traded company's outstanding shares of stock. It provides insight into a company's size and value in the financial markets. Market capitalization is calculated by multiplying the company's current stock price by the total number of outstanding shares.

The formula for calculating market capitalization is:
Market Cap = Stock Price x Total Outstanding Shares



MARKET CAPITALIZATION

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Here's a breakdown of how market capitalization works:

01

Stock Price: The stock price used in the calculation is the current market price at which a company's shares are trading on a stock exchange. This price can fluctuate throughout the trading day based on supply and demand dynamics.

02

Total Outstanding Shares: This refers to the total number of shares of a company's stock that are available to the public and held by investors. It includes all common shares, but not shares that are held by insiders or restricted from public trading. Outstanding shares can change over time due to events such as stock issuances, stock buybacks, and employee stock option exercises.

03

Resulting Market Cap: Once you multiply the stock price by the total outstanding shares, you get the market capitalization. Market cap is typically expressed in terms of billions or trillions of dollars, depending on the size of the company.

MARKET CAPITALIZATION

Market capitalization is commonly used to categorize companies into different size groups:

1. **Large-Cap:** Companies with a market cap of over $10 billion are considered large-cap. These are often well-established and stable companies.

2. **Mid-Cap:** Companies with a market cap between $2 billion and $10 billion fall into the mid-cap category. They are typically in a growth phase and may have more room for expansion.

3. **Small-Cap:** Companies with a market cap between $300 million and $2 billion are small-cap companies. They often have more growth potential but can be riskier investments.

4. **Micro-Cap:** Companies with a market cap below $300 million are classified as micro-cap. These are often smaller, emerging companies with higher risk.



Private and Confidential

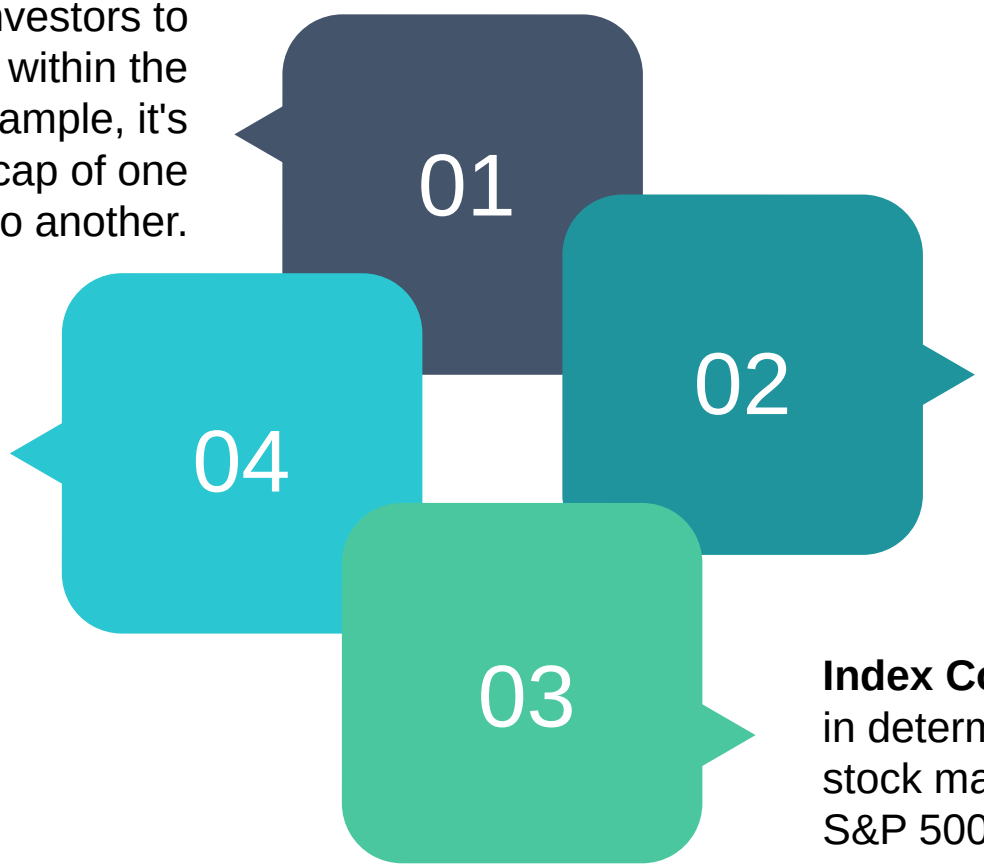
MARKET CAPITALIZATION

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Market capitalization is an important metric for investors and analysts for several reasons:

Comparative Analysis: It allows investors to compare companies of similar size within the same industry or sector. For example, it's common to compare the market cap of one technology company to another.

Risk Assessment: Smaller companies with lower market caps are often considered riskier investments because they may be more volatile and have less financial stability.



Investment Decisions: Market cap can help investors make investment decisions. Some investors prefer larger, more stable companies, while others seek the growth potential of smaller companies.

Index Composition: Market cap is a key factor in determining which companies are included in stock market indices. Many indices, like the S&P 500, select companies based on market cap.



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THANK YOU !!!

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